

Yicheng Liu

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EDUCATION

The Ohio State University <i>Ph.D. in Finance</i>	2021–present
Duke University <i>M.A. in Economics</i>	2019–2021
Nanjing University <i>B.A. in Finance, minor in Mathematics</i>	2015–2019

RESEARCH INTEREST

Asset pricing, macro-finance, intangible capital, market power

WORKING PAPERS

What Are Intangibles Worth? Production versus Market Power

(Job market paper)

Abstract: Intangibles create firm value by raising productivity and strengthening market power. The former boosts growth, whereas the latter may weaken competition. I quantify both channels in a dynamic model of intangible investment and decompose intangible value for each U.S. public firm. By 2024, market power accounts for more aggregate market capitalization than production—28% versus 21%. Intangible value grows as within-firm rents rise and firms with larger productivity gains capture market share. Over the firm life cycle, intangible value shifts from productivity toward market power. Intangible-driven market power helps explain the declining value premium and firms’ incentives for intangible investments.

Institutional Investors’ Subjective Risk Premia: Time Variation and Disagreement

(with Spencer Coutts, Andrei Gonçalves, and Johnathan Loudis)

Abstract: We study how institutional investors’ subjective risk premia shape variation in their expected returns over time and across institutions. Our analysis uses long-term Capital Market Assumptions from asset managers and investment consultants from 1987 to 2022. Most of the countercyclicality and overall time variation in institutional expected returns reflects variation in perceived market risk premia, not perceived mispricing or alphas more generally. This risk premium effect is driven almost entirely by variation in perceived risk quantities rather than risk price (risk aversion). Expected return disagreement across institutions rises with macro-financial uncertainty and is also explained primarily by disagreement about market risk premia. However, unlike the time-series results, alphas account for a quantitatively important share of disagreement, and the price and quantity of risk contribute roughly equally to the risk premium effect. These findings provide benchmark moments that asset pricing models should match to be consistent with institutional investors’ beliefs.

- *Best Paper Award, Finance Down Under Conference*

Investment-based Costs of Equity

(with Chen Xue and Lu Zhang)

Abstract: The q^5 -characteristics model estimates costs of equity as Lewellen’s (2015) out-of-sample forecasts from cross-sectional regressions. The q^5 -costs of equity outperform accounting costs of equity in cross-sectional tests. Our estimates are unbiased, whereas accounting costs of equity are biased downward for big firms (and upward for microcaps). The q^5 -costs of equity are weakly left-skewed at the firm level, precise at the industry level, and aligned with average factor premiums. However, accounting costs of equity outperform ours in time series tests. Factor models perform poorly in out-of-sample tests. Gradient-boosted trees improve on cross-sectional regressions, but not reliably.

TEACHING EXPERIENCE

The Ohio State University

Instructor, Investments

Summer 2024

Nominated for Outstanding Undergraduate Instructor Award

Teaching assistant for Andrei Gonçalves, Investments

Fall 2025

Duke University

Teaching assistant, Economic Principles

Summer 2020

AWARDS

René M. Stulz Scholar Development Award, The Ohio State University

2026

Bartels Fellowship, The Ohio State University

2025

Merit Scholar Award, Duke University

Fall 2019 and Spring 2020

Zhongli International Scholarship, Nanjing University

2017

PROFESSIONAL EXPERIENCE

Referee: Journal of Banking and Finance, Journal of Empirical Finance

SKILLS

Programming: Julia, R, MATLAB, STATA, SAS

Languages: English (fluent), Chinese (native), Japanese (intermediate)